Hindustan Aeronautics Ltd

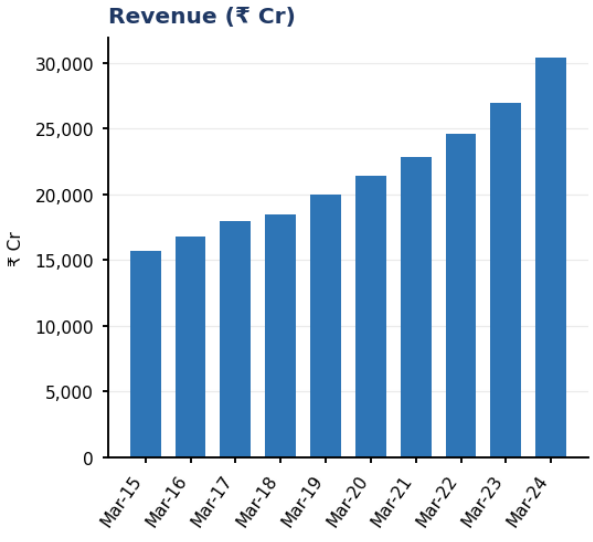
Industrials | Defence & Aerospace | Latest FY: Mar-24 | ₹ Crore

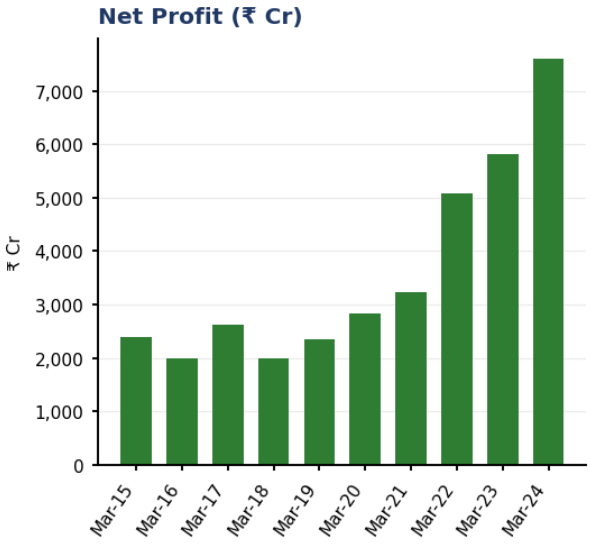
HAL

Key Performance Indicators

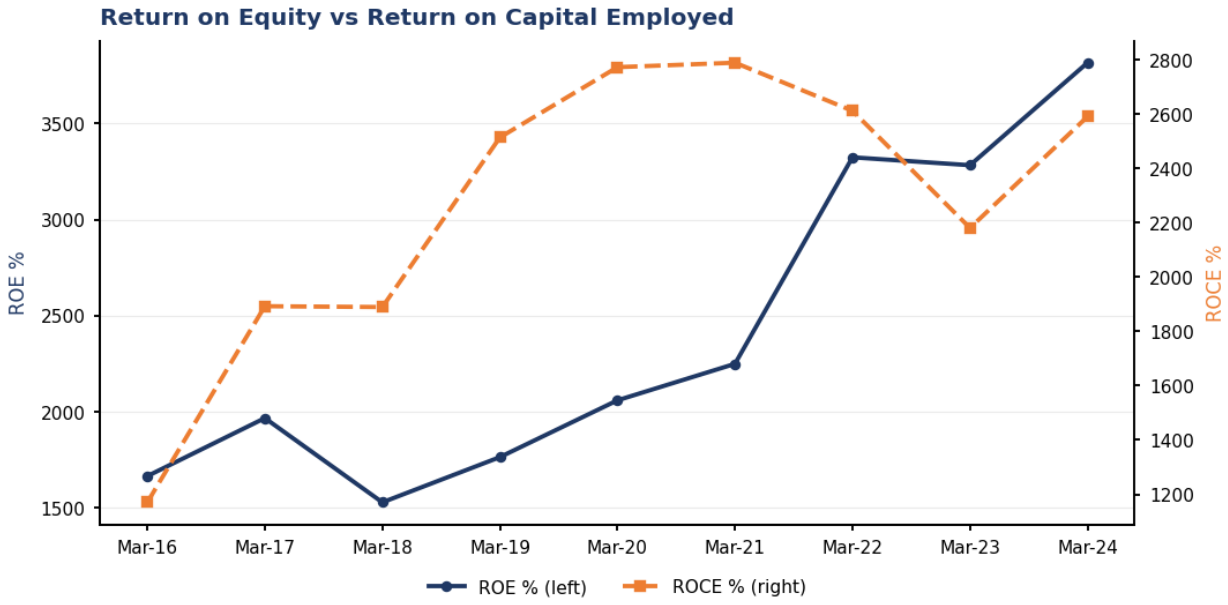
RETURN ON EQUITY	RETURN ON CAPITAL EMPLOYED	OPERATING PROFIT MARGIN
3,816.6%	**2,591.0%**	**32.1%**
▲ +533.5 pts vs Mar-23	▲ +410.2 pts vs Mar-23	▲ +7.3 pts vs Mar-23
DEBT / EQUITY	**REVENUE CAGR (5Y)**	**NET PROFIT CAGR (5Y)**
0.62x	**8.7%**	**26.5%**
▲ +0.35x vs Mar-23	compound annual rate	compound annual rate

10-Year Revenue and Net Profit





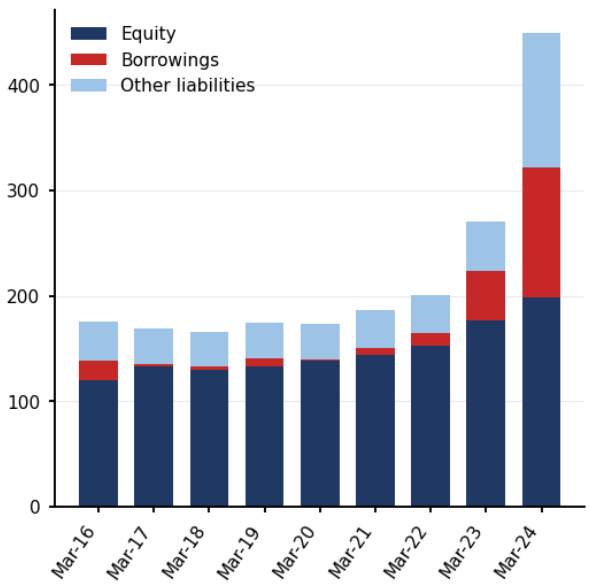
Return on Equity and Return on Capital Employed



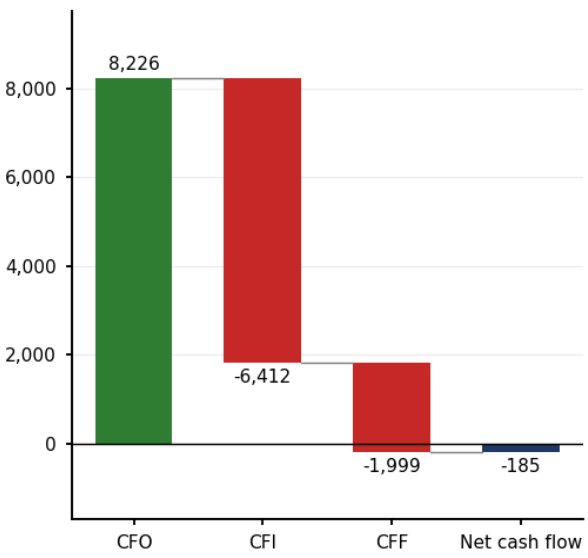
Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

Balance Sheet Composition and Latest-Year Cash Flow

Balance Sheet Composition (₹ Cr)



Cash Flow Waterfall – Mar-24 (₹ Cr)



Capital Allocation

Reinvestor

Pattern history (CFO / CFI / CFF signs): Mar-21: Reinvestor → Mar-22: Reinvestor → Mar-23: Reinvestor → Mar-24: Reinvestor

Cash Flow Intelligence

CFO QUALITY (5Y CFO/PAT)	CAPEX INTENSITY	FCF CONVERSION	FCF CAGR (5Y)	FLAGS
1.96x	**21.8%**	**51%**	**n/a**	**None**
High Quality	Capital Intensive	FCF / operating profit	Turnaround (base was negative)	

Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing (95%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (95%)
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency (93%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (88%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (75%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (74%)

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (76%)

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.